IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.P (CAA) No. 13/BB/2017,
C.P (CAA) No. 14/BB/2017,
&C.P (CAANo.15/BB/2017.
U/S 230 to 232 of the Companies Act, 2013
Order Delivered on: 22nd December, 2017

IN THE MATTER OF SCHEME OF AMALGAMATION
BETWEEN
DARSHITHA SOUTHERN INDIA HAPPY HOMES PRIVATE LIMITED
AND
DARSHITA HAPPY HOMES PRIVATE LIMITED
AND
DARSHITHA INDIA HAPPY HOMES PRIVATE LIMITED
AND
THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Coram: 1. Hon'ble Shri Ratakonda Murali, Member (Judicial)
2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Darshita Southern India Happy Homes Private Limited
04th Floor, Salarpuria Windsor #3,
Ulsoor Road
Bangalore- 560 042 - **Petitioner in CP (CAA) 13/BB/2017 /Transferee Company**

M/s Darshitha Happy Homes Private Limited
04th Floor, Salarpuria Windsor #3,
Ulsoor Road
Bangalore- 560 042 - **Petitioner in CP (CAA) 15/BB/2017/ Transferor No.1 Company**

Darshita India Happy Homes Private Limited,
04th Floor, Salarpuria Windsor #3,
Ulsoor Road
Bangalore- 560 042 - **Petitioner in CP (CAA) 14/BB/2017/ Transferor No.2 Company**

Parties Present : 1) Mr. Uday Shankar
Uday Shankar Associates
Fortune Chambers, 1st Floor
#8, Lalbagh Road, Richmond Circle
Bangalore-560 027
Advocate for the Petitioner Companies
2) Mrs. Prema Hatti, Advocate

for the Regional Director /ROC
3) Mr.Vasanth Kumar, Assistant
Representative for Official Liquidator

Per: **Hon'ble Shri Ratakonda Murali, Member (Judicial) – Author**

Heard on: 23.06.2017, 30.06.2017, 04.07.2017, 19.07.2017, 11.09.2017, 11.10.2017, 24.10.2017, 08.11.2017, 14.12.2017.

COMMON ORDER

These Company Petitions are filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation whereby **DARSHITA HAPPY HOMES PRIVATE LIMITED** (Petitioner / 1st Transferor Company) and **DARSHITA INDIA HAPPY HOMES PRIVATE LIMITED** (Petitioner / 2nd Transferor Company) being merged with **DARSHITA SOUTHERN INDIA HAPPY HOMES PRIVATE LIMITED** (Petitioner /Transferee Company) so has to be binding on all the Shareholders and the secured and unsecured creditors of the Petitioner Companies.

The averments made in the Company Petitions are briefly described hereunder:-

The Petitioner Companies seek an order for sanctioning the Scheme of Amalgamation of **DARSHITA HAPPY HOMES PRIVATE LIMITED** (Petitioner / 1st Transferor Company) and **DARSHITA INDIA HAPPY HOMES PRIVATE LIMITED** (Petitioner / 2nd Transferor Company) with **DARSHITA SOUTHERN INDIA HAPPY HOMES PRIVATE LIMITED** (Petitioner /Transferee Company) as per the Scheme at **Annexure A** in the respective Company Petitions.

The Petitioner / Transferee Company in CP(CAA) 13/BB/2017 was incorporated on 13th September,2004 under the name and style as **BIG SOUTHERN INDIA MALLS PVT LTD** having its Registered office at 1008, Chiranjiv Tower, 43, Nehru Place, New Delhi, India. Subsequently the Company changed its name to **DARSHITA SOUTHERN INDIA HAPPY HOMES PRIVATE LIMITED** on 16th November, 2016 and subsequently on 16.12.2016 the Registered office of the company has been shifted to 4th floor,

salarpuria Windsor, no.3, Ulsoor Road, Bengaluru-560042 and obtained Certificate of Incorporation vide bearing CIN No. **U70100KA2004PTC098521.**

The Petitioner/Transferee Company's Objects as set out in its Memorandum of Association inter alia, as follows:

i.) to acquire, construct, build, alter, develop, improve, repair, renovate, decorate, work, plane, own, hold, occupy, manage control, fabricate, pull down, lay out landed properties, buildings, multi-storied building, apartments, flats, houses, group housing schemes, residential layouts, bungalows, quarters, offices, formation of housing layouts and shelters for and on behalf of central government, state government, public corporations, public limited companies, municipalities, parishads and with such other local bodies or authorities, various organizations, individuals, or governments and other, generally function as contractors of buildings residential purpose in relation to housing schemes-private, public or otherwise .

ii.) to provide project management consultancy services, which include conceptualizing, planning, designing, pattening facilitation, project delivery oversite, budgeting and scheduling, design and construction oversite including residential and commercial complexes, multi-stored buildings, apartments, flats, houses, group housing schemes, residential layouts bungalows, quarters, offices, formation of housing layouts and shelters, redevelopment of buildings and colonies, hospitals, educational institutions, construction of townships, roads, bridges, hotels, resorts, recreational facilities, city and regional level infrastructure and to provide management services for the implementation of a project.

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Transferee Company are shown as **Annexure B in C.P.(CAA)No. 13/BB/2017.**

Authorised share capital of the Petitioner /Transferee Company as on 30th September, 2016 is Rs, 5,00,000 divided in 50,000 equity share of Rs, 10/- each and issued subscribed and paid up equity share capital of Rs. 1,00,000/- divided in to 10,000 equity shares of Rs.10/- each as stated in the petition and synopsis.

The Copy of Audited Financials of the petitioner/ transferee company as on 31th March, 2016 and is shown as **Annexure C &D in C.P. (CAA) No. 13/BB/2017.**

The Petitioner / 1st Transferor Company in CP (CAA) 15/BB/2017 was incorporated on 11th December, 2015 as a Private Limited Company under the name and style as **DARSHITA HAPPY HOMES PRIVATE LIMITED** in the State of Karnataka and obtained Certificate of Incorporation vide bearing CIN No.**U70102KA2015PTC084676.**

The Registered office of the Petitioner / 1st Transferor Company is situated at 4TH Floor, Salapuria Windsor, No.3, Ulsoor Road, Bangalore-560042

The Petitioner/ 1st Transferor Company's Objects as set out in its Memorandum of Association inter alia includes, as follows:

i.) to acquire, construct, build, alter, develop, improve, repair, renovate, decorate, work, plane, own, hold, occupy, manage control, fabricate, pull down, lay out landed properties, buildings, multi-storied building, apartments, flats, houses, group housing schemes, residential layouts, bungalows, quarters, offices, formation of housing layouts and shelters for and on behalf of central government, state government, public corporations, public limited companies, municipalities, parishads and with such other local bodies or authorities, various organizations, individuals, or governments and other, generally function as contractors of buildings residential purpose in relation to housing schemes-private, public or otherwise .

ii.) to provide project management consultancy services, which include conceptualizing, planning, designing, pertaining

facilitation, project delivery oversite, budgeting and scheduling, design and construction oversite, including residential and commercial complexes, multi-stored buildings apartments, flats, houses, group housing schemes, residential layouts, bungalows, quarters, offices, formation of housing layouts and shelters, redevelopment of buildings and colonies, hospitals, educational institutions, construction of townships, roads, bridges, hotels, resorts, recreational facilities, city and regional level infrastructure and to provide management services for the implementation of a project.

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the 1st Transferor Company is shown in **Annexure B in C.P.(CAA)No. 15/BB/2017.**

The Petitioner / 2nd Transferor Company in CP(CAA)14/BB/2017 was incorporated on 2nd September,2004 under the name and style as **BIG INDIA MALLS PVT LTD** having its Registered office at 1008, Chiranjiv Tower, 43, Nehru Place, New Delhi, India. Subsequently on 16th December, 2016 the Company changed its name to **DARSHITA INDIA HAPPY HOMES PRIVATE LIMITED** with Register of Companies, Karnataka Vide CIN no.**U70100KA2004PTC098520** as a Private Limited Company and consequently the Registered office of the company has been shifted to 4th floor, salarpuria Windsor, no.3, Ulsoor Road, Bengaluru-560042 as stated in the Synopsis.

The Petitioner/ 2nd Transferor Company's Objects as set out in its Memorandum of Association inter alia includes, as follows:

i.) to acquire, construct, build, alter, develop, improve, repair, renovate, decorate, work, plane, own, hold, occupy, manage control, fabricate, pull down, lay out landed properties, buildings, multi-storied building, apartments, flats, houses, group housing schemes, residential layouts, bungalows, quarters, offices, formation of housing layouts and shelters for and on behalf of central government, state government, public corporations, public limited companies, municipalities, parishads and with such other local bodies or authorities, various

organizations, individuals, or governments and other, generally function as contractors of buildings residential purpose in relation to housing schemes-private, public or otherwise .

ii.) to provide project management consultancy services, which include conceptualizing, planning, designing, pertaining facilitation, project delivery oversite, budgeting and scheduling, design and construction oversite, including residential and commercial complexes, multi-stored buildings apartments, flats, houses, group housing schemes, residential layouts, bungalows, quarters, offices, formation of housing layouts and shelters, redevelopment of buildings and colonies, hospitals, educational institutions, construction of townships, roads, bridges, hotels, resorts, recreational facilities, city and regional level infrastructure and to provide management services for the implementation of a project.

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the 2nd Transferor Company is shown in **Annexure B in C.P.(CAA)No. 14/BB/2017.**

The Authorised share capital of the Petitioner / 2nd Transferor Company as on 30th September, 2016 is Rs, 1,71,69,58,130/- divided in to 17,16,95,813 equity share of Rs, 10/- each and issued subscribed and paid up share capital of Rs. 1,04,21,78,840/- divided in to 10,42,17,884 equity shares of Rs.10/- each fully paid up as stated in the petition and synopsis.

The Copy of Audited Financials of the petitioner/ 2nd transferor company as on 31st March, 2016 is shown as **Annexure C &D in C.P. (CAA) No. 14/BB/2017.**

The Board of Directors of the Transferee Company, 1st Transferor Company and 2nd Transferor Company at their respective Board Meetings held on 07th December, 2016 have approved the scheme and vide circular Resolution dated 25.04.2017 have approved the amendment to the scheme relating to the Accounting Standards as proposed. The Copies of Board Resolutions and circulars are shown as **Annexure E1 &E2** in the respective Company Petitions.

That the Transferee, the 1st Transferor & 2nd Transferor Companies had filed Company Applications CA(CAA) No.02/BB/2017, CA(CAA) No.04/BB/2017 & CA(CAA)03/BB/2017 respectively before this Tribunal seeking to dispense with convening of the meetings of Shareholders, Secured Creditors and Unsecured Creditors of the respective Companies. The Copies of the Orders of Tribunal in CA (CAA)No.02/BB/2017, CA (CAA) No.04/BB/2017&CA (CAA) No.03/BB/2017 are shown as **Annexure - H** in the respective Company Petitions.

This Tribunal vide order dated 19th July,2017 directed the Petitioner Companies to issue Notice to Regional Director, Ministry of Corporate Affairs, South-East Region, Register of Companies, Income Tax Department, Official Liquidator, Reserve Bank of India if applicable, Securities Exchange Board of India if applicable, Competition Commission of India if applicable, and to other Sectoral Regulators or Authorities and also to have an advertisement of Notice of Petition be carried out in the '**The Hindu**', an English daily Newspaper and '**UdayaVani**'a Kannada daily Newspaper and stating the next date of hearing as 11th September,2017.

In pursuant to the same the Counsel for the Petitioner Companies has filed the **Memo dated 11th September, 2017** for having issued notices to Regional Director, Registrar of Companies, Income Tax Department and Securities Exchange Board of India and the Postal receipts are filed along with the memo and counsel has also filed the copy of the paper publication for having taken Advertisement in '**The Hindu**', an English daily Newspaper and '**UdayaVani**'a Kannada daily Newspaper The Copies of Paper Publication are shown as **Annexure B series** along with the Memo.

The Registrar of Companies, Karnataka, Bangalore vide letter no's. ROCB/ Legal/SVK/84676/98520&98521/232/2017 dated 30.08.2017 and ROCB/ Legal/ 84676/ 98520&98521/232/2017 dated 26.09.2017 wherein he has not made any observation and has stated that the Petition of the Companies may be decided on merits.

The Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad has filed its affidavit dated 09.10.2017 submitting that the proposed scheme and other material paper have been examined and this Hon'ble Tribunal may be please to dispose of the petition on merits.

On the prayer made by the Official Liquidator in OLR No.118/2017 in **C.P (CAA) No. 14/BB/2017 & CP(CAA)No.15/BB/17**, vide Order dated 11.09.2017 of this Tribunal, the Official Liquidator appointed M/s. Bheemashanker Deshmukh and Co, Chartered Accountants to scrutinize the Books of Accounts and Records of the Transferor Companies.

Pursuant to the same, the Official Liquidator has filed a Report **dated** 11.10.2017 in OLR.No.161/17 and OLR No. 162/17 in **C.P (CAA) No. 14/BB/2017& CP(CAA) No.15/BB/2017** respectively stating that M/s. Bheemashanker Deshmukh and Co, Chartered Accountants has submitted Report dated 03.10.2017 which is marked as **Annexure A,** wherein the Chartered Accountant has concluded in his report that:

i.) We have obtained all the information and explanation, which to the best of our knowledge and belief were necessary for the purpose of our audit and based on the same we report that on scrutiny of the books and records maintained and according to the information and explanation obtained from the company, we are of the opinion that:

ii.) The Companies have maintained proper books of account, statutory registers and records as required by the Companies Act 2013.

iii.) The affairs of the companies have been conducted in a manner not prejudicial to the interest of its members.

Thus relying on the Report dated 03.10.2017 of M/s. Bheemashanker Deshmukh and Co, Chartered Accountants, the Official Liquidator is of the Opinion that the Affairs of the Transferor Companies have not been conducted in a manner prejudicial to the interests of the members of the Companies or Public interest.

The Counsel for the Petitioner Companies has filed copy of Accounting Treatment Certificate **dated 25.04.2017** of the Auditor stating that the proposed Accounting specified in paragraphs 18.1 to 18.9 of the revised draft scheme, as such is in compliance with applicable Indian Accounting Standards prescribed under section 133 of the Companies Act, 2013 r/w rule 7 of the Companies (Accounts) Rules 2014 (as amended from time to time), Companies (Indian Accounting Standards) Rules, 2015 (as

amended from time to time) and other generally accepted Accounting Principles. The Auditors Certificate on Accounting Treatment is shown in **Annexure F** in the respective Company Petitions.

The Counsel for the Petitioner Companies has also filed the copy of Share Exchange Ratio Certificate of the Chartered Accountant **dated 08.12.2016** which is shown in **Annexure G** of the respective petitions stating that:

> *"For every 1 equity shares of face value of INR 10 each fully paid up and held in Darshita Happy Homes Private Limited, the equity shareholders of Darshita Happy Homes Private Limited shall be entitled to 1 equity share of face value INR 10 each fully paid up of Darshita Southern India Happy Homes Private Limited, pursuant to the scheme."*

Further it is stated in the scheme at para 15.1 that there will be no consideration for amalgamation of Darshita India Happy Homes Private Limited since it is a wholly owned subsidiary of Darshita Happy Homes Private Limited.

After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved,

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest

in the transferee company for all the state and interest of the Petitioner/Transferor Companies therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company, if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2016.

The Transferor Companies or its Authorised Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Companies to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

22/12/17

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RATAKONDA MURALI)
MEMBER, JUDICIAL